

COMPANY CONTRACT COMPLIANCE POLICY

Version 1.0 | Effective Date: January 1, 2024

SECTION 1 — TERMINATION RIGHTS

1.1 Notice Period

Either party must provide a minimum of thirty (30) days written notice prior to termination of any agreement. Termination without notice is not permitted under any circumstances except in cases of material breach as defined in Section 1.3.

1.2 Termination for Convenience

Either party may terminate the agreement for convenience provided the 30-day written notice requirement under Section 1.1 is fulfilled. No penalties or fees shall be imposed for termination for convenience.

1.3 Termination for Cause

In the event of a material breach, the non-breaching party must issue a written cure notice allowing the breaching party fourteen (14) days to remedy the breach before termination takes effect.

1.4 Post-Termination Obligations

Upon termination, all confidential information must be returned or destroyed within fifteen (15) days. Outstanding payments due up to the termination date remain payable in full.

SECTION 2 — LIABILITY AND INDEMNIFICATION

2.1 Liability Cap

The total liability of either party under any agreement shall not exceed the total fees paid or payable in the twelve (12) months preceding the event giving rise to the claim.

2.2 Exclusion of Consequential Damages

Neither party shall be liable for indirect, incidental, special, or consequential damages including loss of profits, loss of data, or business interruption, regardless of whether such damages were foreseeable.

2.3 Indemnification

Each party shall indemnify, defend, and hold harmless the other party from any third-party claims arising out of that party's gross negligence or willful misconduct. Indemnification obligations survive termination of the agreement.

2.4 Mutual Indemnification Requirement

Indemnification obligations must be mutual. No agreement shall impose one-sided indemnification obligations solely on one party.

SECTION 3 — CONFIDENTIALITY

3.1 Definition of Confidential Information

Confidential information includes all non-public technical, financial, business, and operational information disclosed by either party, whether oral or written, marked or unmarked as confidential.

3.2 Confidentiality Obligations

Each party must protect the other party's confidential information using at least the same degree of care it uses for its own confidential information, but in no event less than reasonable care. Confidential information must not be disclosed to third parties without prior written consent.

3.3 Confidentiality Period

Confidentiality obligations shall remain in force for a period of no less than three (3) years following the termination or expiration of the agreement.

3.4 Permitted Disclosures

Disclosure is permitted only to employees or contractors who have a need to know and who are bound by confidentiality obligations no less restrictive than those in this policy.

SECTION 4 — PAYMENT TERMS

4.1 Payment Schedule

All invoices must be paid within thirty (30) days of the invoice date.

Late payments shall attract interest at a rate not exceeding 1.5% per month on the outstanding balance.

4.2 Dispute Resolution for Invoices

Any invoice dispute must be raised in writing within ten (10) days of receipt. Undisputed portions of an invoice must be paid by the due date regardless of any ongoing dispute on other portions.

4.3 Currency and Taxes

All payments shall be made in the currency specified in the agreement. Each party is responsible for its own applicable taxes. Neither party shall deduct withholding tax from payments without prior written agreement.

SECTION 5 — INTELLECTUAL PROPERTY

5.1 Ownership of Pre-Existing IP

Each party retains ownership of all intellectual property developed prior to or independently of the agreement. No rights to pre-existing IP are transferred unless explicitly stated in writing.

5.2 Ownership of Developed Works

Intellectual property developed by a vendor specifically for the company under a paid engagement shall be owned by the company upon full payment, unless otherwise agreed in writing.

5.3 License Grant

Where IP is not transferred, the creating party grants the other party a non-exclusive, non-transferable, royalty-free license to use the developed work solely for the purpose described in the agreement.

SECTION 6 — DISPUTE RESOLUTION

6.1 Governing Law

All agreements shall be governed by and construed in accordance with the laws of the State of Delaware, United States.

6.2 Mandatory Mediation

Prior to initiating any arbitration or litigation, the parties must attempt to resolve the dispute through good-faith mediation for a period of not less than thirty (30) days.

6.3 Arbitration

If mediation fails, disputes shall be resolved through binding arbitration under the rules of the American Arbitration Association. The arbitration shall be conducted in English in New York, New York.

6.4 Waiver of Jury Trial

Both parties expressly waive the right to a jury trial for any dispute arising out of or relating to the agreement.